success in the past six years other than sales of government stake in a CPSE to another CPSE or a group of CPSEs. In 2018–19, HPCL was sold to ONGC. In 2019–20, REC was sold to PFC. In 2019–20, there were three strategic sale transactions (Tehri Hydro, North East Power and Kamarjar Port Ltd). All three companies ended up being bought by other CPSEs. These transactions did not lead to any privatization; in fact, the government did not even transfer management control to the buyer CPSEs. In a way, for the buyer, it was only a financial investment with real management control still remaining with the government.

The government signalled a real intent for strategic sale in November 2019 when it announced the sale of three CPSEs: BPCL, CONCOR and SCI. However, it could not complete these transactions in financial year 2019–20.

2020–21 Proved to Be a Washout for Disinvestment

The government had decided upon the highest-ever target of Rs 2.1 lakh crore to be raised from proceeds of disinvestment in 2020–21. This was set at over four times the actual receipts of only Rs 50,304 crore in 2019–20. In fact, the 2020–21 targets are way above the best performances of Rs 1,00,045 crore in 2017–18 and Rs 94,727 crore in 2018–19.

The first six months literally got washed out in the lockdown with crash of equity prices, complete disarray in CPSE valuations and general distraction in the government.

The government resumed minority stake sale with a 15 per cent stake sale in Hindustan Aeronautics Ltd in August 2020 and Bharat Dynamics Ltd in September 2020. These issues garnered about Rs 5700 crore. The Bharat Dynamics stake sale was not fully subscribed and the government could only offload 12.82 per cent. These were the only two transactions conducted in the first six months of financial year 2020–21.